



THE HARD THING ABOUT HARD THINGS

Building A Business
When There Are No Easy Answers

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The Big “So What”

Owning a business or being a CEO may sound enviable, but in reality it's full of challenges. The hardest thing is, there are no fixed formulas you can follow. The author, Ben Horowitz, is one of the most respected and experienced entrepreneurs in Silicon Valley. In this book, he shares his experience as an entrepreneur, CEO and venture capitalist, and offers practical tips and advice for dealing with the “hard things” in business that have no clear answers.



Introduction

Horowitz starts by sharing his journey—from an employee to entrepreneur, building a company, falling to nothing, and rebuilding a business that was eventually sold for \$1.65b. He then moves on to explain the key lessons learnt, using anecdotes from his experiences, e.g. what it's like to lay off people, run out of cash, or keep people motivated during a crisis. While his experiences are in technology companies, the insights are applicable to most businesses.

In this summary, we've distilled and organized the key ideas from the book into 3 parts:

- Behind the Scenes: Highlights of Horowitz's business journey;
- Building your Business; and
- Holding Things Together.



Behind the Scenes

Most people don't see the stress and sleepless nights that a CEO goes through. In the book, Horowitz shows us the real challenges and the emotional roller coaster that come with running a business. Here are some key highlights:

KEY QUOTES

“There's no recipe for really complicated, dynamic situations.”

“That's the hard thing about hard things—there is no formula for dealing with them.”

“I do not attempt to present a formula in this book. Instead, I present my story and the difficulties that I have faced...in the hope of providing clues and inspiration for others who find themselves in the struggle to build something out of nothing.”

“We've built something from nothing, saw it go back to nothing again, and then rebuilt it into a \$1.65 billion franchise.”



Horowitz started his career in Silicon Valley as an engineer, and got to know Netscape's CTO, Marc Andreessen when he was hired as Netscape's project manager. After Netscape was sold to AOL, Horowitz and Andreessen started their own company Loudcloud in 1999, offering cloud technology.

- Loudcloud grew aggressively and secured \$10m worth of contracts within 7 months. However, with the dotcom crash in 2000, it quickly found itself at the brink of bankruptcy.
- To survive, they had to bring the company to IPO, even though they were operationally unsound, lacked a strong sales process/customer base, and faced a market that was cynical about technology stocks.
- Despite overcoming massive challenges to IPO the company, Loudcloud continued to struggle. Their share price fell by two-thirds after they missed their first-year forecast. This was followed by the 2001 terrorist attacks in the USA. Even their largest competitor, Exodus, lost \$40b market capitalization and \$800m cash in just over 1 year, and filed for bankruptcy.
- At his wits' end, Horowitz asked himself, "What's the worst thing that could happen?" He realized that, if they went bankrupt, he would cut off their cloud business and salvage their software arm Opsware. He started to make this shift discreetly, and business improved.



Then, their largest customer went bankrupt and defaulted on \$25m of outstanding payments. At this point, they had no choice but to sell off Loudcloud, their entire cloud business. This meant laying off 140 employees and selling 150 employees with Loudcloud.

- Selling Loudcloud to EDS also meant selling 100% of their customers and revenue. Stock price plummeted to \$0.35.
- They retained the Opsware IP, but had to rebuild a new software company. The remaining staff were presented with the new opportunity, and given the option to commit to the new vision or leave the company. Only 2 employees quit, and 76 out of the remaining 78 staff stayed with the company until it was sold to Hewlett Packard (HP) 5 years later.

KEY QUOTES

"If you are going to eat shit,
don't nibble."

"Every CEO likes to say she
runs a great company. It's
hard to tell whether the
claim is true until the
company or the CEO has to
do something really
difficult."

- Next, they had to revive their stocks by convincing the market of their new vision, then figure out how to deliver the right product.
- In the process, they had to let go of the old executive team and rebuild a new team that understood the software market.

 **Building Opsware** came with many new challenges:

- Within a few quarters, they received news that EDS—their main client which contributed to 90% of their revenues—wanted to cancel their contract and get a refund. They had only 60 days to fix the software to EDS' satisfaction. In the end, they found a creative solution: they acquired Tangram (a different system that EDS wanted) for \$10m, and offered it as a free service with Opsware. Having saved the EDS account, Opsware now had to work out if/how to integrate Tangram's 57 employees.
- Before long, they faced another challenge: a new competitor, BladeLogic, was beating them with a superior product. Horowitz rallied his engineers, who worked 7 days a week, for more than 12 hours a day, over 9 months, to redefine and deliver a new winning product. The company now needed a strong sales force to sell the product. Mark Cranney was hired as the new head of sales: he assembled a strong team, relentlessly trained them, and personally reviewed the details of each deal to coach his team toward sales mastery.

 As Opsware grew, offers to buy the company started to stream in, and it was eventually sold to HP in 2007 for \$1.65bil.

Through these ups and downs, Horowitz learned the myths and realities of what it means to start a business and be a CEO. In the next 2 sections, we'll present some of these key tips and insights.

Building a Business

The correct sequence of priorities for any business should be: people, products, then profits.

KEY QUOTES

"It turns out that...figuring out the right product is the innovator's job, not the customer's job."

Building a Great Place to Work



Taking care of your people is all about making your company a great place to work.



A good organization is one where people can focus on doing a great job, feeling secure that both they and the company will be rewarded. On the other hand, in a bad organization, people lack clarity and fight internally; products and profits suffer as a result.



Generally, people are happy to work for a company when things are rosy. However, when things go wrong, the quality of your workplace will decide whether people stay and stick it out.

Hiring the Right People



Size mismatch. Many startups hire big company executives, only to realize there's a mismatch:

- Work in a startup involves different rhythms and skill-sets from that of a large company. *Startup executives* must be hands-on, create things from scratch, handle 8-10 new initiatives a day, and get out there to make things happen. On the other hand, *large company executives* must be good at juggling tons of emails/meetings, handle organizational design and process improvements, and usually take on ≤ 3 new initiatives a quarter.
- To avoid wrong hires, test for mismatches during interviews. Ask questions like, "What will you do in your first month on the job?", "What do you think will be different between your current job and this job?" Integrate your new hires asap by requiring weekly creations, hands-on involvement in product/customer details, and personal interaction with key people in the company.



As a CEO, you must hire and manage executives who can do things better than you can, and for jobs you've never done yourself. How do you know what to look for?

KEY QUOTES

"The most important thing to understand is that the job of a big company executive is very different from the job of a small company executive."

- The best way is to put yourself in the role, to get first-hand knowledge of what's needed for your company. Identify what's required for the specific role, at that specific point in time.
- Convert the criteria into processes. Identify the *essential strengths*, acceptable weaknesses, and hire for those strengths (not for a lack of weaknesses). Develop *specific questions* that test for those criteria. Organize an *interview team* that can assess the fit, and whose support is needed once the executive is hired.
- The CEO must be prepared to make the final decision. When Horowitz hired Mark Cranney as Opsware's Head of Sales, he decided to accept Marks' weaknesses, as Mark had the strengths needed to assemble a strong Opsware sales team for their new product. During the interview, Horowitz asked targeted questions like, "What do you look for in a sales rep?", "How will you screen for these during an interview?", "How will you train the sales team?". With the right strengths, Mark grew Opsware's sales by more than 10x, with low staff turnover on his team.

Training Your People



Startups tend to focus on recruiting the best talents, but neglect their training. **Training is vital in startups**, as it helps to set performance expectations, create consistency and alignment, and improve productivity and staff retention.

You can start with functional training tailored to specific job roles, to set expectations and provide the background/details on your products. Use management training to convey clear expectations for your managers, e.g. are they expected to meet and coach their staff regularly? You can also get your best people to teach their top skills, to improve overall competencies and recognize good staff.

Managing a Company



What you measure can change behaviors, e.g. when you measure the duration of customer service calls, your staff may start to focus on finishing the calls quickly rather than

KEY QUOTES

"You must hire the right person for your company at this particular point in time."

"I'd learn the hard way that when hiring executives, one should follow Colin Powell's instructions and hire for strength rather than lack of weakness."

"Bringing in the right kind of experience at the right time can mean the difference between bankruptcy and glory."

"Being too busy to train is the moral equivalent of being too hungry to eat."

"Management purely by numbers is sort of like painting by numbers—it's strictly for amateurs."

engaging the customers. Always blend qualitative and quantitative targets, e.g. combine product vision with metrics like speed or durability.



Sometimes, an easier decision can have a costly long-term effect— this is called a “management debt”. Here are 2 common scenarios:

- When a key staff gets a better job offer, it’s common for companies to make a counter-offer to retain him, even if he’s now over-compensated relative to his peers. Soon, others also threaten to quit to get a pay raise.
- As a company grows, CEOs may resist adding HR systems, to save costs and keep the environment casual. In the long run, performance drops and the company suffers.

Great CEOs make the hard decisions in the short-term, so they don’t have to pay the price of management debt in future.



Strong HR capabilities can improve your management quality:

- A strong HR Head should be perceptive, an effective facilitator between the managers and CEO, strong in process design and control, and well-versed with the latest HR knowledge.
- Use the employee life cycle to evaluate your management quality, by looking at the components of recruitment/hiring, compensation, training/integration, performance management, and motivation.

Leading a Growing Company



A company with 10 staff vs 10,000 staff must behave differently. A CEO must embrace and manage the changes that come with growth.



Politics emerge when people are rewarded for reasons besides contribution/merit. It often starts unintentionally with the CEO, e.g. when you agree to change someone’s job title/responsibility due to their lobbying efforts. To minimize politics:

KEY QUOTES

“Management debt is incurred when you make an expedient, short-term management decision with an expensive, long-term consequence.”

- Hire people with the right ambition, i.e. they don't pursue personal success at the company's expense. During interviews, be cautious of people who regularly use words like "I" and "me", or claim personal credit for big projects without knowing the details.
- Develop processes for politically-sensitive areas, such as a proper performance evaluation/compensation system and a transparent, merit-based promotion system.
- Your words, actions, or even silence as a CEO can be misinterpreted by your staff. Be mindful of gossip, hearsay, and the types of rewards or incentives that you offer. Handle issues with transparency and don't allow staff to complain to you about other colleagues in their absence

 **Managing titles/promotions.** At the startup phase, people do whatever's required to get things going, and roles are often vaguely defined. However, **titles must be carefully managed as they affect expected compensation, perceived fairness and organizational effectiveness.**

- The Peter Principle (by Peter and Hull) says that people will be promoted to their "level of incompetence", while the Law of Crappy People (by Horowitz) says that people will benchmark themselves against the lousiest person at the next level and expect to be promoted when they reach that level of competency.
- Make sure the titles reflect the level of influence and value of that role. You need to specifically define the skills and responsibilities for each level, and have a formal committee and process to review employees for promotion.
- Never evaluate people based on their potential to meet your company's future needs, since skills can be learned, things will change and you can't predict the future.

 Horowitz places great emphasis on **1-1 meetings as a key management tool**. The aim of such meetings is to provide a platform for employees to flexibly discuss any issue or idea that may not otherwise be raised.

- To provide structure for the meeting, ask your staff to set the agenda in advance.

KEY QUOTES

"Because titles will be used to calculate relative value, they must be managed carefully."

- To draw out key issues, try using questions like, “Are you happy working here?”, “If we can improve in anything, what will it be?”, “If you were me, what changes would you make?”

Your culture is essentially how things work in your company.

Having the right culture helps you to find the right employees, preserve your values, deliver great products, a great work experience and long-term performance.

- Great companies are often associated with strong, “cult-like” cultures. To influence behaviors on a large scale, focus on a few “cultural design points”, i.e. things that are so shocking that they trigger discussion and behavioral change. For example, Amazon had its office desks made from cheap Home Depot parts, which give reason for staff to explain to visitors/new staff how Amazon always seeks to deliver the best solutions at the lowest cost.
- Ask good questions. Horowitz found it useful to incorporate this question at his meetings: “What are we not doing?”. This question shifts the focus away from the work being done/completed, to identify gaps and blind spots. Asking this question led Opsware to acquire a network automation company, which won them a business deal that paid for the acquisition almost immediately.

To make a big impact, you must know how to scale your company.

- Scaling your company involves specialization (devoting people and teams to specific tasks) and organizational design. Consider what needs to be communicated, the types of regular decisions to be made, your business priorities (e.g. is it more vital for your designers to know the customer or product architecture?), and decide who to lead each group. There's no perfect structure; decide on your trade-offs, and address the gaps in other ways.
- As you scale, your communication, info-sharing and decision-making become exponentially more complex, e.g. the more specialized your staff are, the more coordination you need. Thus, don't add processes/changes unless you absolute have to. You know it's time to make changes if you find that adding a new staff creates more trouble than the help he/she brings.

KEY QUOTES

“Sometimes an organization doesn't need a solution; it just needs clarity.”

“Perhaps the CEO's most important operational responsibility is designing and implementing the communication architecture for her company.”

“A properly designed culture often ends up looking cultlike in retrospect, but that's not the initial design principle.”

“You want to optimize the organization for...the people doing the work—not for the managers.”

“Be mindful of your company's true growth rate as you add architectural components. It's good to anticipate growth, but it's bad to overanticipate growth.”



Holding Things Together as the CEO

Challenges are inevitable in business. In fact, greatness is born from struggles, and the CEO can make the biggest difference in times of crises. **When things fall apart, it's the CEO's job to hold everything together and find a solution. Don't start a company unless you're willing to deal with this.**

Surviving the Struggle



Everyone starts the entrepreneurship journey feeling confident of success—you see yourself making a positive impact, with a great team, great products and happy customers. However, the reality often turns out to be the opposite: your product isn't ideal, market conditions aren't up to expectations, good people leave and you run out of cash.



Every successful entrepreneur goes through the phase when everything seems to fall apart: Horowitz calls this "The Struggle".

- At this point, you'll feel lost and lonely; you're filled with self-doubt and wonder why you're hanging on. Rather than waste energy feeling sorry for yourself, just do what you have to do to fix things. *That* is the job of the CEO.
- It doesn't matter if you have a 1% or 90% chance of success—as the CEO, you must stay focused and find the best possible move, no matter how hopeless things appear.



Here are some tips that can help you to survive The Struggle:

- Share your burdens. As the CEO, you're the only one who can see all the pieces of the puzzle, and have to shoulder the full burden. However, don't try to take on everything yourself, or feel bad about troubling others. No one will feel the load or responsibility as much as you. Opsware survived its multiple crises due to the entire team's effort.

KEY QUOTES

"When you are building a company, you must believe there is an answer and you cannot pay attention of your odds of finding it. You just have to find it."

"As your dreams turn into nightmares, you find yourself in the Struggle."

"It's the moments where you feel most like hiding or dying that you can make the biggest difference as a CEO."

"The Struggle is not failure, but it causes failure."

"Nobody takes the losses harder than the person most responsible. Nobody feels it more than you."

- There are always options. Businesses are complex, with constantly changing variables (people, competitors, technology etc.). This means that there will always be moves that you can make, however desperate the situation. As things change, new answers (that previously weren't available) also emerge—the key is to stay long enough in the game to find them.
- Don't take it personally. Although you are ultimately responsible for your decisions/mistakes, bashing yourself won't help. Everyone makes mistakes; don't be too hard on yourself.

Tell Things As They Are



When things go wrong, leaders sometimes lie to themselves with excuses like, “We lost the deal because the competitor was desperate enough to price below cost”. CEOs may also try to boost morale by putting up a positive front and playing down the negatives. **Be transparent and tell things as they are:**

- You can't fix all the problems by yourself. By sharing the truth, you build trust between you and your team, which facilitates communication and collaboration.
- If people are used to masking bad news, problems can stay hidden until it's too late. Build a healthy culture where people feel free to discuss problems and explore solutions. After all, why hire great people if you don't put their talents and skills to use?



Face the reality. We want to believe that we can predict or control our business. However, the truth is, we can't. When the unexpected happens, don't wish for normalcy or magic solutions; face the issues head-on, like how Opsware recreated their product to counter BladeLogic's superior product.



Distinguish facts from assumptions. Shortcuts, conventional wisdoms and first impressions are often misleading. Gain first-hand knowledge wherever possible, and always step back to look at alternative perspectives.

KEY QUOTES

“If you survive long enough to see tomorrow, it may bring you the answer that seems so impossible today.”

“My single biggest personal improvement as a CEO occurred on the day when I stopped being too positive.”

“In any human interaction, the required amount of communication is inversely proportional to the level of trust.”

“A brain, no matter how big, cannot solve a problem it doesn't know about.”

“Following conventional wisdom and relying on shortcuts can be worse than knowing nothing at all.”



One of the hardest things about running a company is to ask people to leave. Yet, it's vital to do it right.



Layoffs can tear a company apart, as the remaining employees no longer feel committed to build the company. Yet, Opsware succeeded despite 3 rounds of layoffs. **It is possible to lay off people properly, however unpleasant it is.**

- Focus on the real reasons and the future. Layoffs are the result of the company's *failure* to fulfill its goals; it's not an excuse to remove people for poor performance. Admit that the company's failure has resulted in the need to lose great people. Look to the future and don't let bad feelings of the past cloud your mind.
- Once the decision is made, execute it asap. Once news leak out, they create questions, uncertainty and confusion.
- Don't outsource the layoffs to your HR department or an outsourcing firm: The CEO must *personally address* the entire company, to set the context and lay the ground for execution later. *Train your managers* to lay off their people: they must be able to (a) explain the company failure, (b) convey that the decision is non-negotiable, and (c) share the details of the benefits and support to be offered. Be visible and available throughout the process.



If you need to fire a senior executive, prepare in advance using these 4-steps:

- Analyze the root-cause. This is always due to a system failure, e.g. poor job definition, failure to hire for specific strengths, or failure to integrate the person. "Scaling" is also a common cause, when the people you hired are no longer suitable for the new roles/needs of your growing company. If your firm is growing rapidly, go for executives with a strong track record of managing growth and adapting with the company.

KEY QUOTES

"The wrong way to view an executive firing is as an executive failure; the correct way is to view an executive firing as an interview/integration process system failure."

- Get the Board's support for your decision, the separation package, and to protect the reputation of the executive. Ideally, call each board member to break the news personally, especially if the executive was recommended by one of them.
- Prepare for the conversation: Script, practice, then speak with the executive asap. Make sure you (a) present the reasons clearly, (b) convey the decision firmly and (c) be ready with the details of the severance package. Let the executive decide how best to communicate the news to internal and external parties.
- Prepare to inform the company. Ideally, the decision should be communicated to the rest of the company in a few hours, or within the day. Start with the executive's direct reports, other members of your staff, then the rest of the company.

Becoming a Better CEO



As an entrepreneur or CEO, you often have to lead even when you have no idea where you're going. One of your key challenges will be to manage your own headspace.

- The path of a CEO can be a lonely one. You have to learn on the job and from your mistakes, bear full responsibility for the company, yet you can't share your fears or doubts with employees or outsiders.
- The best CEOs manage their emotions, act decisively, and simply don't quit. To help yourself cope, (a) get psychological support from friends who've survived tough times, (b) think on paper to clear your head, and (c) focus on your options, not the problems.



You can improve your effectiveness by working on several areas:

- Learn to give and receive feedback;
- Often, the tough decisions are not about knowing what to do, but having the courage to do them, e.g. to kill a product line or sell off an entire division. By making small

KEY QUOTES

"When a company multiples in size, the management jobs become brand-new jobs... everyone needs to requalify for the new job, because the new job and the old job are not the same."

"When you expect your employees to act like adults, they generally do."

"You will face a broad set of things that you don't know how to do that require skills you don't have."

"Focus on the road, not the wall... Focus on where you are going rather than on what you hope to avoid."

"Spend zero time on what you could have done, and devote all of your time on what you might do."

"The right decision is often obvious, but the pressure to make the wrong decision can be overwhelming."

but difficult choices regularly, you build courage to take on bigger challenges;

- Nurture 3 key leadership attributes: (a) *express the vision* and sustain people's belief, (b) *have the right ambition* and show that you truly care for your people, and (c) work on your *competencies* to deliver the vision.



Different leadership styles are required during “peacetime” and “wartime”. When the company is doing well relative to competitors, the CEO's role is to improve innovation across-the-board, grow your market and enhance your strengths. However, when the company is fighting for survival, the CEO must focus all the resources on a single goal that's aligned to your mission, and ensure its achieved. The 2 sets of skills are so different that you typically need different leaders for peace vs crisis.



Other Details in the Book to Look out For

While there are no secret formulas for the “hard things” addressed in this book, Horowitz uses a wide range of anecdotal examples to illustrate how you can deal with these tough issues, and the important pitfalls to avoid. In the book, he includes many other details including:

- Sample interview questions, documents and checklists that he used to communicate expectations and review his organization;
- Detailed accounts of how he handled situations involving politics, competition, internal communications etc.; and
- Other advice on how to give feedback, how to evaluate CEOs, whether you should sell your company, etc. For more details and resources, do visit the [Andreessen Horowitz website](#).

KEY QUOTES

“Peacetime CEO knows that proper protocol leads to winning. Wartime CEO violates protocol in order to win.”

“The world looks one way in peacetime but very different when you might fight for your life every day.”